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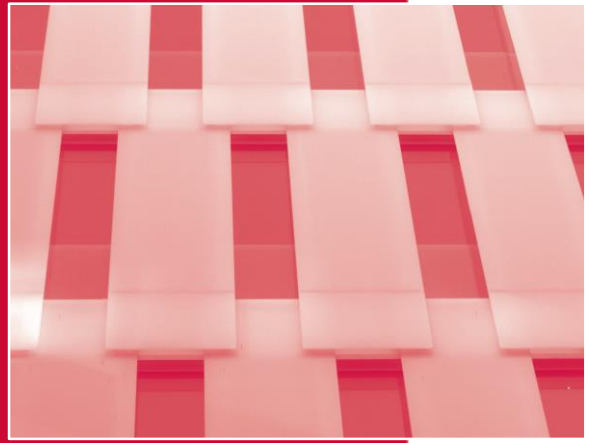
Financial Accounting – Course 30693



Financial Statements presentation, reclassification and analysis

Part 1

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AGENDA

1. Understanding the Business
2. External decision-makers. F/S presentation
3. Internal decision-makers
4. F/S reclassification. Key indicators
   - 4A. B/S reclassification
   - 4B. I/S reclassification
   - 4C. Comparative Analysis
5. Ratio Analysis
6. FSA in the real-life world

PART 1

1. Understanding the Business

Financial statements provide information to:

External Decision Makers
- Present and potential owners
- Investment analysts
- Creditors
- Banks
- Tax Authority

Internal Decision Makers
- Board of Directors
- Managers
- Key employees
- Consultants

Financial Statements → *help people make better economic decisions.*

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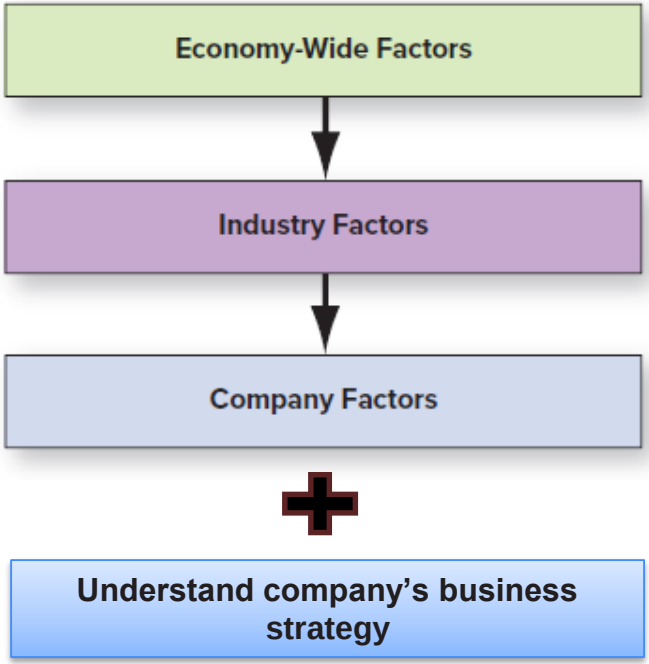
PUBLISHED *financial statements are designed primarily to meet the needs of external decision makers.*

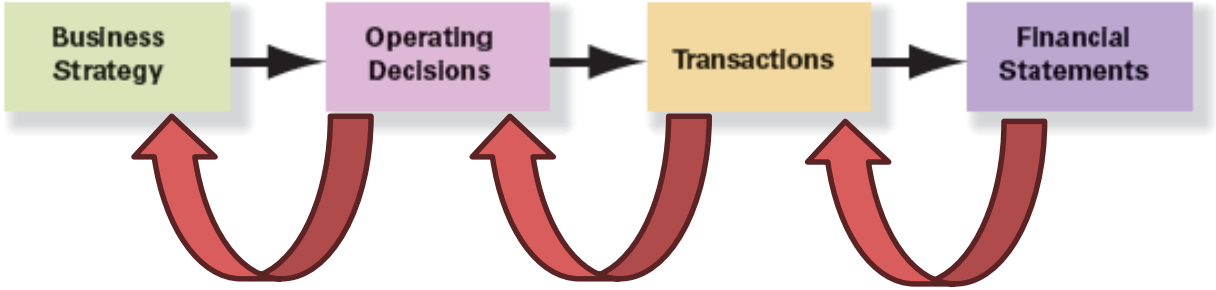
The Investment Decision (1 of 2)

In considering an investment in stock, investors should evaluate the company's future income and growth potential on the basis of:



Understanding a Company's Strategy (1 of 2)

While financial statements reflect transactions, each of those transactions is the result of a company's operating decisions as it implements its business strategy.



Because financial statements are the primary documents that represent a company, a thorough understanding of them is essential to fully grasp the company's business purpose, operations, and mission.

Understanding a Company's Strategy (2 of 2)

Businesses can earn a high rate of return by following different strategies. There are two fundamental strategies:

1) Product differentiation
2) Cost differentiation

Here are some examples:

	BASIC STRATEGIES	
Industry	Product Differentiation	Cost Differentiation
Cars	Tesla	Kia
Airlines	Singapore Airlines	Spirit Airlines
Retail Stores	Apple	Best Buy

Financial analysis begins with a solid understanding of a company's business strategy. *Read the annual report (10-K), the letter from the president and management's discussion and analysis (MD&A), other reports (e.g., sustainability or ESG reports), as well as articles in the business press.*

2. External decision makers. F/S presentation

EXTERNAL DECISION MAKERS (1/2):

LIMITED INFORMATION PACKAGE AVAILABLE

The external decision makers (existing and potential shareholders, lenders, employees with limited access to financial information, suppliers, clients,…) have access ONLY to the "official" financial statements of a limited liability company, downloadable from the Public Register of Companies (and on the website, on a voluntarily basis). These statements show:

- Aggregated data
- Limited information
- *In many cases*, only details required by the applicable law

Examples: you don't have information on the list of customers and/or suppliers and obviously, on the contractual agreements in terms of discounts, prices, payment time line; you don't know which and how many tangible and intangible assets are owned and used by the company, apart from the broad reclassification in the statements, you don't know the value in use of an asset unless it is impaired and in any case how this is calculated,…

EXTERNAL DECISION MAKERS (2/2):

LIMITED INFORMATION PACKAGE AVAILABLE

Financial statements are presented under standard formats, for US GAAP (the so-called **10-K filing**) or for IAS/IFRS companies (**ESEF format**) or for ITA GAAP (the so-called **XBRL format**).

Which is the content of a full set of financial statements?

Income statement and balance sheet are always compulsory, everywhere.

All the other statements, notes, reports may be required or not, based on a number of factors (mainly, the size of the entity).

In the following slides there is the comprehensive list of statements, notes and reports that may be required under the different formats applicable.

Different types of financial statements:

U.S. Financial Statements (10-K filings)

-required by the U.S. Securities and Exchange Commission (SEC)
- one of the most comprehensive and most important documents a public company can publish on a yearly basis
- information includes corporate history, financial statements, earnings per share, and any other relevant data.
- Requires XBRL tagging

EU Financial Statements

From 2020, issuers on EU regulated markets are required to prepare their IFRS annual financial reporting in a European Single Electronic Format (ESEF) according to the XBRL format.

Content

U.S. Financial Statements (10-K filings)

5 distinct sections:

1. ***Business**:* overview of the company's main operations.
2. ***Risk factors**:* outline of any and all risks the company faces or may face in the future.
3. ***Selected financial data***: financial information about the company over the last five years.
4. ***Management's discussion and analysis (MD&A)***: financial condition and results of operations.

EU Financial Statements

Distinct documents (related to type and size of company)

1. Company's separate financial statements (IS, BS, statement of cash flows and statement of stockholders' equity).
2. Consolidated Financial Statements.
3. Minutes of the shareholders' meeting with the approval of the F.S.
4. Directors' management report.

Cont'd next slide

U.S. Financial Statements (10-K filings)

5 distinct sections:

…

5. Financial statements and supplementary data: company's audited financial statements (the income statement, balance sheet, and statement of cash flows). A letter from the company's independent auditor certifying the scope of their review is also included in this section

EU Financial Statements

Distinct documents (related to type and size of company)

…

5. Board of auditors' report
6. List of company associates.
7. Audit (firm's) report.

OTHER REPORTS (Non-Financial Statements/DNF): ESG report/Sustainability report,…

3. Internal decision makers

INTERNAL DECISION MAKERS (1/2):

FULL INFORMATION PACKAGE AVAILABLE

Internal decision makers (Board of Directors, auditors, key managers, and consultancy companies in charge for projects, …) have access to the full financial information package.

What do we mean with "full information package"?

IT DEPENDS ON THE TECH QUALITY OF THE ACCOUNTING SYSTEM

The larger is the company, the more crucial is the accounting system: the IT infrastructure shall be adequate to the number and complexity of transactions.

Main issues:

1. Sometimes, IT systems are not adequate / timely for reporting purposes
2. Interrelations between different accounting software can cause relevant reporting issues *(example of different software in the same company: one to issue invoices to customers, one to match credit card sales with invoices, one to keep track of orders from clients, one to record inventory increase and decrease, one to allocate properly the employees' expenses…)*
3. To use an accounting software, employees must be trained, and training takes time and it is expensive!

4. F/S Reclassification. Key indicators

INTRO

As we pointed out before, the “external user” has a limited dataset available, whilst the “internal user” has full access to the financial information of the company.

All the activities related to the F/S analysis can be carried out by both categories of users; nevertheless, obviously, the output generated by an "internal user" can be much more accurate than the output of an "external user", due to the limited information the external user is provided with.

This is the reason why in the M&A transactions there is the **due diligence period**, during which professionals appointed by the buyer (sometimes in contrast with the professionals appointed by the seller) get access to full set of the Target’s data.

The main F/S analysis activities are:

1. F/S reclassification *(see next slides)*;
2. Calculation of component percentage *(see next slides)*;
3. Ratio analysis *(new set of slides – part 2)*.

FINANCIAL STATEMENTS RECLASSIFICATION/REFORMULATION

Financial statement reclassification refers to reorganizing items in the balance sheet and income statement into alternative formats to better structure financial information and to calculate a number of main key indicators.

This process, often called financial statement reformulation, helps users derive intermediate/partial results (or ratios), improving the analysis of a firm's performance and financial soundness.

Reformulation generally follows established best practices used in financial statement analysis, although **no formal rules or laws prescribe a single required format**.

Different textbooks and analysts may use different formats or labels, or sometimes the same labels with different meanings; therefore, **CONSISTENCY in definitions and a clear understanding of the concepts are essential**.

In the following slides, reclassification refers to internal-use reformulation, meaning it is prepared by users within the firm who have full access to the company's detailed financial data.

4A. Balance Sheet Reclassification

BALANCE SHEET RECLASSIFICATION

Different formats provide different information.

As for Balance Sheet, there are formats with focus on

Liquidity and solvency

Items of the BS are divided in short/long term assets and liabilities

Business Functions

This reclassification classifies the BS items according to the company's business (e.g., investment, operations and financing)

Reclassified balance sheet format with ONLY focus on liquidity and solvency

assets are classified according to their liquidity

ASSETS

SHORT-TERM (or CURRENT) ASSETS:

expected to be converted to cash, sold or consumed during the next 12 months

- Cash and cash equivalents
- Short-term investments
- Accounts receivable *(net of bad debts allowance)*
- Inventories
- Other short-term assets

LONG-TERM (or NON-CURRENT) ASSETS:

assets that are not short-term

- Tangible assets *(net of accumulated depreciation)*
- Intangible assets *(net of accumulated amortization)*
- Long-term Investments
- Other long-term assets

liabilities are classified according to their maturity

LIABILITIES

SHORT-TERM (or CURRENT) LIABILITIES: *debts due within one year*

- Accounts payable
- Short term portion of loans;
- Bank overdraft;
- Tax payable;
- Other short-term liabilities

LONG-TERM (or NON-CURRENT) LIABILITIES: *debts which are not classified as short-term*

- Loans payable
- Bonds payable
- Long term notes payable
- Other long-term liabilities

SHAREHOLDERS' EQUITY

- Common Stock & Additional paid-in capital
- Reserves
- Earnings

BALANCE SHEET RECLASSIFICATION

All major consulting firms (see the next slides for two real-life examples from Deloitte and EY) reclassify the balance sheet in a broadly similar way, as follows:

- **NET INVESTED CAPITAL**
  1. Long-lived assets (tangibles, intangibles, financial)
  2. Net Working Capital
     a. Commercial working capital
     b. Other operating assets/liabilities

- **SOURCES OF FINANCING**
  1. Equity
  2. Net Financial Position
  3. Other liabilities

We recall that each reclassification may differ depending on the specific needs and the input data available.

Please find in the next slides further details.

BALANCE SHEET RECLASSIFICATION – Example 1

Deloitte – courtesy translation provided.

UNEARNED REVENUES

Subconsolidato – Stato Patrimoniale dic22-dic26

Ck	dic-22 Pc	dic-23 Fcst	dic-24 Fcst	dic-25 Fcst	dic-26 Fcst
Attivo Fisso LONG-LIVED ASSETS	**25.435**	**10.895**	**9.611**	**8.553**	**8.042**
Magazzino INVENTORIES	8.711	9.592	13.615	14.887	15.184
Crediti commerciali ACC. RECEIVABLES	9.151	8.658	9.546	11.125	11.375
Anticipi da clienti ADVANCES FROM CUSTOMERS	(1.994)	(1.175)	(2.513)	(2.881)	(2.942)
Debiti commerciali ACC PAYABLES	(13.495)	(4.902)	(6.838)	(8.003)	(8.183)
Capitale Circolante Commerciale COM. WK	**2.373**	**12.172**	**13.810**	**15.128**	**15.433**
Altre attività/(passività) OTHER ASS/LIAB	6.308	5.310	5.076	4.677	4.176
Capitale Circolante Netto NET WORK CAP.	**8.681**	**17.482**	**18.886**	**19.804**	**19.609**
Fondi PROVISIONS/ CONTINGENT LIABIL.	(1.652)	(1.120)	(1.127)	(1.153)	(1.180)
Capitale Investito Netto NET INVESTED CAPITAL	**32.464**	**27.257**	**27.370**	**27.205**	**26.471**
Patrimonio Netto EQUITY	**(12.618)**	**10.869**	**11.897**	**14.238**	**16.944**
Finanziamento Infragruppo ITA-LOAN	4.192	-	-	-	-
Finanziamento soci SHAREHOLDER LOAN	14.735	-	-	-	-
Debito IFRS 16 LEASE PAYABLES	1.986	1.431	876	321	-
Debiti / (crediti) vs altri finanziatori OTHER	**20.914**	**1.431**	**876**	**321**	**-**
Liquidità CASH	(94)	(5.371)	(2.430)	(1.584)	(1.806)
Escrow Account (cassa vincolata)	-	(2.000)	(1.750)	(1.500)	(1.500)
Indebitamento BT SHORT-TERM FIN LIAB.	7.515	6.309	6.321	6.840	7.234
Indebitamente MT L/T FINANCIAL LIAB.	16.747	16.019	12.454	8.890	5.598
Posizione Finanziaria Netta NET FIN. POS.	**24.168**	**14.957**	**14.596**	**12.646**	**9.527**
Fonti di finanziamento SOURCES OF FINANCE	**32.464**	**27.257**	**27.370**	**27.205**	**26.471**
DOI	**88**	**256**	**199**	**185**	**185**
DSO	**97**	**151**	**90**	**90**	**90**
DPO	**117**	**113**	**90**	**90**	**90**
%CCO/Ricavi	**7%**	**59%**	**36%**	**34%**	**34%**
PFN/EBITDA	**(1x)**	**(7x)**	**4x**	**3x**	**2x**
PFN/Patrimonio Netto	**(2x)**	**1x**	**1x**	**1x**	**1x**

BALANCE SHEET RECLASSIFICATION – Example 2

EY – courtesy translation provided.

Stato Patrimoniale	9m23	FY23B	FY24B	FY25B	FY26B	FY27B
Immobilizzazioni immateriali INTANGIBLES	1.726	1.568	1.590	1.252	1.021	816
Immobilizzazioni materiali TANGIBLES	20.187	20.379	19.622	19.479	17.703	16.217
Immobilizzazioni finanziarie FIN ASSETS	3.039	3.039	3.039	3.039	3.039	3.039
Diritti d'uso RIGHT-OF-USE (LEASING)	2.105	1.820	1.083	4.722	3.487	2.308
Totale immobilizzazioni TOTAL FIXED	**27.057**	**26.807**	**25.334**	**28.492**	**25.250**	**22,380**
Magazzino INVENTORIES	14.164	14.877	15.318	15.959	16.876	17.619
Crediti commerciali ACC. RECEIVABLES	14.039	13.108	14.186	14.891	16.519	16.810
Debiti commerciali AC. PAYABLES	(11.118)	(15.331)	(16.172)	(17.194)	(17.579)	(17.607)
CCN NWC [CWC]	**17.085**	**12.654**	**13.333**	**13.655**	**15.815**	**16.822**
Altre Attività OTHER ASSETS	3.520	6.497	5.443	4.477	3.621	2.991
(Altre Passività) OTHER LIABILITIES	(7.824)	(7.716)	(7.170)	(6.636)	(6.300)	(5.922)
Totale Fondi CONTINGENT LIABILITIES	(5.080)	(4.814)	(4.964)	(4.964)	(4.964)	(4.964)
Capitale Investito Netto NET INV. CAP.	**34.759**	**33.428**	**31.976**	**35.025**	**33.422**	**31.307**
Cassa CASH	(1.684)	(2.893)	(5.674)	(7.056)	(11.098)	(17.748)
Crediti finanziari FIN. RECEIVABLES	(27)	(27)	(27)	(27)	(27)	(27)
Debiti v banca bt NOTES P. SHORT T.	527	927	2.527	2.827	2.827	2.827
Debiti verso altri finanziatori OTHER FIN. L.	32	32	32	32	32	32
Debiti per ~~xxxxx~~ FIN. LIABILITIES	1.391	1.008	457	-	-	-
Nuova finanz. LOANS	13.483	11.713	10.531	9.157	9.701	10.279
PFN NET FINANCIAL POSITION	**13.722**	**10.760**	**7.846**	**4.932**	**1.435**	**(4.637)**
Debito Leasing LEASE PAYABLE	2.105	1.820	1.083	4.722	3.487	2.308
PFN + Leasing	**15.827**	**12.581**	**8.929**	**9.655**	**4.922**	**(2.330)**
Capitale sociale COMMON STOCK	21.230	21.230	21.230	21.230	21.230	21.230
Utile/(perdita) a Nuovo RET. EARNINGS	(17.515)	(17.515)	(16.100)	(13.900)	(11.577)	(8.447)
Utile/(perdita) d'esercizio NET INCOME	3.161	1.415	2.200	2.322	3.130	5.136
Riserve RESERVES	12.057	15.717	15.717	15.717	15.717	15.717
Patrimonio netto EQUITY	**18.932**	**20.847**	**23.047**	**25.370**	**28.500**	**33.636**
Fonti SOURCES	**34.759**	**33.428**	**31.976**	**35.025**	**33.422**	**31.307**

BALANCE SHEET RECLASSIFICATION - details

NET INVESTED CAPITAL is total assets, less all the "operating" liabilities. It can be defined as "all the resources the company uses, net of the liabilities related to operations". It is divided into two categories: long-lived assets and Net Working Capital (NWC).

1) **Long-lived assets (tangibles, intangibles, financial):** This section totals the net book value of all long-lived assets. Usually they are aggregated; if a single asset is significant for the analysis, then it is presented stand-alone.

2) **Net Working Capital:** This section includes all the current, operating assets, net of the current, operating liabilities, and it is divided into two sub-sections:

   a. **Commercial working capital:** This is the net total of ONLY the following: inventories (+), accounts receivable (+), accounts payable (-). Note that all accounts are net of any contra-asset (e.g., allowance for doubtful accounts)

   b. **Other operating assets/liabilities:** This section includes all the other assets and liabilities with an operating nature: wages payable, prepaid expenses (if they have an operating nature), unearned revenues, social security payable, withholding tax payables, contingent liabilities (e.g., provisions for warranties), tax assets (e.g., VAT receivable), tax liabilities (e.g., Income tax payable)

BALANCE SHEET RECLASSIFICATION - details

SOURCES OF FINANCING: This total does not coincide with the amount of *total liabilities and equity* in the balance sheet because, as noted earlier, operating liabilities are subtracted from assets in order to calculate **Net Invested Capital**. This amount therefore represents how the net assets are financed (i.e., it reflects the company's financing structure).

1. Equity corresponds to the amount reported in the financial statements.

2. Net Financial Position (NFP) is the most important metric in the financial statements analysis together with EBITDA (see slideset Part 3). It is calculated as: (i) total financial liabilities (both short-term and long-term, which include lease liabilities and, in most cases, exclude intra-group financial liabilities) minus (ii) cash and cash equivalents (e.g., financial receivables).

NFP = total Financial Liabilities – Cash and Cash equivalents

3. Other liabilities include shareholder loans and other intra-group financial liabilities. These are liabilities of a financial nature but with a lower risk profile (if a subsidiary is unable to repay a shareholder loan, it is unlikely that the shareholder would initiate bankruptcy proceedings against the subsidiary). In addition, this category includes any dividends payable.

4B. Income Statement Reclassification

INCOME STATEMENT RECLASSIFICATION

For FSA, income statements can be presented in different formats depending on the analysts' objectives. In many cases, the standard formats required by accounting standards (e.g., US GAAP or IFRS) already provide a useful starting point for analysis, since they contain most of the information needed and usually require only limited adjustments.

The first section of the income statement, leading up to **EBITDA,** is often *highly flexible*. Firms may structure this part differently depending on their industry characteristics (e.g., merchandising, manufacturing, or services).

After EBITDA, the structure of the income statement becomes more standardized:

- Subtract Depreciation and Amortization → **EBIT**
- Adjust for financial and extraordinary items → **EBT**
- Subtract income taxes → **Net Income**

The next slide presents a standard example of a reclassified income statement for a merchandising company.

INCOME STATEMENT RECLASSIFICATION

A Merchandise Company Standard Format

+ Net sales
- Cost of goods sold
= GROSS PROFIT (= GROSS MARGIN)

+ Other operating revenues
- Selling, General and Administrative expenses
= EBITDA (Earnings before interests, taxes, depreciation and amortization)

- Depreciation and amortization expense
= EBIT (Earnings before interests and taxes)

+/- Net Non-Recurring Items
+ Interest & financial revenues
- Interest expense and financial charges
= Income before Taxes (EBT, Earning before taxes)

- Income taxes
= Net Income

INCOME STATEMENT RECLASSIFICATION – Example 1

Real Company Management Report (Internal use)
courtesy translation provided - Amount €/000

€ '000		
Totale ricavi delle vendite	SALES REVENUES	**63.303**
Consumi di materie prime	COST OF GOODS SOLD	(53.470)
Margine primo Livello	GROSS MARGIN	**9.834**
MpL margin %		***15,5%***
Costi diretti		(2.400)
Margine di contribuzione	CONTRIBUTION MARGIN	**7.434**
MdC margin %		**11,7%**
Costi di struttura	OVERHEADS	(3.564)
Costi per servizi	SERVICE EXP.	(1.455)
Oneri diversi di gestione	OTHER EXPENSES	(468)
EBITDA		**1.947**
EBITDA margin %		***3,1%***
Ammortamenti e Accantonamenti	DEPR. AM. ALLOW.	(3.242)
EBIT		**(1.294)**
EBIT margin %		**-2,0%**
Proventi/Oneri finanziari	FINANCIAL INCOME/EXP	**(2.130)**
Proventi/Oneri straordinari	EXTRAORDINARY INC/EXP	**(1.014)**
EBT		**(4.438)**
Imposte	TAXES	29
Risultato netto	NET INCOME	**(4.409)**

INCOME STATEMENT RECLASSIFICATION – Example 2

Deloitte – courtesy translation provided

Subconsolidato – Conto economico FY22 - FY26

Ck	2022 Bdg	2023 Fcst	2024 Fcst	2025 Fcst	2026 Fcst
Ricavi SALES REVENUES	32.359	20.669	38.184	44.500	45.500
Altri ricavi OTHER REVENUES	1.653	-	-	-	-
Ricavi Totali TOTAL REVENUES	**34.013**	**20.669**	**38.184**	**44.500**	**45.500**
Var YoY	*8%*	*(39%)*	*85%*	*17%*	*2%*
Costi diretti DIRECT COSTS	(35.962)	(13.680)	(24.922)	(29.349)	(30.012)
Gross Margin	**(1.949)**	**6.990**	**13.262**	**15.151**	**15.488**
Gross Margin %	*(6%)*	*34%*	*35%*	*34%*	*34%*
Costi commerciali (SELLING EXP.) COMMERCIAL COSTS	(1.515)	(652)	(1.215)	(1.422)	(1.454)
Net commercial margin	**(3.463)**	**6.337**	**12.047**	**13.729**	**14.034**
Net Commercial Margin %	*(10%)*	*31%*	*32%*	*31%*	*31%*
Costi di struttura G&A EXPENSES	(13.039)	(8.527)	(8.476)	(8.853)	(9.251)
EBITDA	**(16.502)**	**(2.190)**	**3.571**	**4.876**	**4.783**
EBITDA %	*(49%)*	*(11%)*	*9%*	*11%*	*11%*
Amm.ti / Acc.ti / Sval. DEPR./AMORTIS.	(3.769)	(1.516)	(1.485)	(1.257)	(711)
EBIT	**(20.272)**	**(3.706)**	**2.086**	**3.619**	**4.071**
Proventi (Oneri) Straordinari NON RECURRING	(1.716)	(1.330)	-	-	-
Proventi (Oneri) Finanziari FINANCIAL INT/EXP	(973)	(683)	(655)	(602)	(544)
Imposte INCOME TAXES	(195)	-	(403)	(677)	(822)
Risultato d'esercizio NET INCOME	**(23.155)**	**(5.720)**	**1.028**	**2.340**	**2.706**

INCOME STATEMENT RECLASSIFICATION - details

NET SALES: this is always the first item in a multiple step income statement, and it consists of total sales net of returns and allowances.

COST OF GOODS SOLD: this is often reported in a more detailed way. In particular:

for a *merchandising company*, CGS is:

Purchases (i.e., cost of merchandise purchased) +/- Δ inventory

for a *manufacturing company*, CGS is:

Production costs (typically listed in detail) +/- Δ inventory

GROSS PROFIT (OR GROSS MARGIN) gives an idea of how profitable the core of the business activity is. The profitability at this level must be able to cover all the other expenses the company has to bear. Problems at this level are very alarming!

OTHER OPERATING REVENUES include (if any) other revenues arising from the operating activity, such as rentals, license fees, etc.

INCOME STATEMENT RECLASSIFICATION - details

GENERAL AND ADMINISTRATIVE EXPENSES typically include, for example:

- Administrative staff salaries, bonuses etc. and related costs (including social security and pensions costs)
- Directors' executive salaries and related costs;
- Costs related to fixed assets used for the G&A activity (e.g., depreciation and maintenance of buildings, etc.);
- Research costs;
- Professional fees.

SELLING EXPENSES typically include:

- Sales salaries, commissions and bonuses and related costs (including social security and pension costs);
- Advertising and promotion costs;
- Warehousing costs;
- Transportation costs;
- Costs related to fixed assets used in the selling activity (including depreciation and maintenance costs).

INCOME STATEMENT RECLASSIFICATION - details

EBITDA is operating income before depreciation and amortization. This is the most important metric in the financial statements analysis together with NFP (see slide set Part 3).

DEPRECIATION AND AMORTIZATION represent the depreciation and amortization of long-lived assets. They are routine, non-cash operating charges. In contrast, reversals and impairments are classified as extraordinary items.

OPERATING INCOME is often called **EBIT**, that is "Earnings before interest and taxes".

- O.I. is one of the most important pieces of information on which one should focus to analyze financial statements: it shows **if** and **how profitable** is the **core activity** of the company, no matter how such activity is financed.
- O.I. should tend to be **stable** in time, if no change in the strategy of the company takes place.
- If O.I. is negative or too low, a restructuring process is probably needed to save the company.

INCOME STATEMENT RECLASSIFICATION - details

NET NON-RECURRING ITEMS also referred to as **Extraordinary items** comprise revenues, gains, costs, or losses that arise outside ordinary operations and are therefore not representative of the firm's normal earning capacity.

- Typical examples include capital gains generated by the sale of an entire business segment (rather than by the disposal of operating assets in the ordinary course of business which might be included in the "other revenues"), material write-downs of long-lived assets due to one-off events (e.g., Impacting changes in legislation), and provisions related to exceptional and unpredictable events such as fires, thefts, or accidents.

- Under current accounting frameworks extraordinary items are no longer presented as a distinct category on the published income statement. Instead, they are generally incorporated within ordinary income statement line items and must be identified through adequate disclosure in the notes to the financial statements. This approach is intended to enhance comparability across firms and to reduce the risk of opportunistic presentation by management.

INCOME STATEMENT RECLASSIFICATION - details

NET NON-RECURRING ITEMS (cont'd):

- From the standpoint of financial statement analysis, extraordinary or non-recurring items should be isolated and reclassified below EBIT in order to obtain a more accurate measure of sustainable profitability and core operating performance. However, the identification of such items is inherently judgmental and subject to managerial discretion. For this reason, analysts must evaluate these classifications critically, as firms may have incentives to present recurring operating costs as one-off items in order to inflate adjusted earnings.

Then we have the **FINANCIAL REVENUES AND EXPENSES**, the **EARNINGS BEFORE TAXES (EBT)**, **TAXES** and **NET INCOME**.

- As we saw in the cash flow statement, *taxes are not broken down even though they may include components related to financing or extraordinary activities*. Instead, they are presented as a single amount, reflecting the overall tax impact on the company. From an investor's perspective, what matters is the total tax burden affecting the company rather than separating it into different components.

4C. Comparative Analysis

THE IMPORTANCE OF COMPARABILITY

To properly analyze the information reported in financial statements, it is necessary to develop appropriate comparisons

Two general methods for making financial comparisons

COMPARISON ACROSS TIME

Time-series analysis

Information for a single company is compared over time

COMPARISON ACROSS COMPANIES

Cross-sectional analysis

Information for <u>multiple companies</u> is compared at a point in time or across time

Typically:

- key competitors
- industry average

COMPARISON APPROACHES

Horizontal approach

- Line-by-line comparison of the accounts with those of the previous year.
- It provides, over several years, a trend of changes, indicating decline or growth (i.e., a time series analysis).

Vertical approach

- It provides evidence of structural changes in the accounts: i.e., increased profitability through more efficient production, or greater dependence on borrowing to finance new investment.
- “component percentage”: expression of each item on a financial statement as a percentage of a single base amount.

COMPONENT PERCENTAGES

Component percentages express each item on a particular financial statement as a percentage of a **single base amount.**

NET SALES

For the income statement

TOTAL ASSETS

for the balance sheet

HORIZONTAL ANALYSIS– Example

Horizontal (Time series): analyze the trend of a specific item (e.g., Sales) over time (2006 to 2009, in this case)

OVERVIEW OF GROUP RESULTS

(in millions of Euro)	2006		2007		2008		2009	
	Amount	*%*	*Amount*	*%*	*Amount*	*%*	*Amount*	*%*
Sales revenues	1,018.6	100.0%	1,071.8	100.0%	1,017.5	100.0%	781.0	100.0%
EBITDA	128.5	12.6%	134.6	12.6%	104.9	10.3%	47.2	6.0%
Operating result	106.6	10.5%	113.6	10.6%	87.6	8.6%	33.7	4.3%
Ebit	83.5	8.2%	89.9	8.4%	62.4	6.1%	5.1	0.6%
Result before taxes and minority interests	74.9	7.4%	80.6	7.5%	48.2	4.7%	(5.6)	-0.7%
Net result	50.8	5.0%	52.2	4.9%	28.5	2.8%	(7.6)	-1.0%
Self-financing	91.2		94.8		66.3		34.8	
Free cash flow	58.6		55.9		(6.9)		90.0	
Net financial position	(126.3)		(92.4)		(257.2)		(170.2)	
Total shareholders' equity	295.7		326.7		178.3		182.2	
GEARING	0.43		0.28		1.44		0.93	
ROI	19.6%		21.4%		14.6%		1.3%	
ROE	19.3%		17.7%		12.1%		-4.7%	
Number of employees at December 31	6,168		6,208		6,100		5,770	
Dividends per share (Euro)	0.20		0.22	(*)	-		-	(**)
EPS (Euro)	0.457		0.465		0.250		(0.067)	
Average annual price per share	5.4643		6.5352		2.8443		1.2986	

(*) plus € 1.18 as extraordinary dividend per share
(**) as proposed by the Board of Directors to the Shareholders' Meeting

VERTICAL ANALYSIS– Example

Vertical (Percentages Components): analyze the trend of a specific item (e.g. EBIT) as percentage of a given base amount (Sales, in this case)

OVERVIEW OF GROUP RESULTS

(in millions of Euro)	2006		2007		2008		2009	
	Amount	*%*	*Amount*	*%*	*Amount*	*%*	*Amount*	*%*
Sales revenues	1,018.6	100.0%	1,071.8	100.0%	1,017.5	100.0%	781.0	100.0%
EBITDA	128.5	12.6%	134.6	12.6%	104.9	10.3%	47.2	6.0%
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(*) plus € 1.18 as extraordinary dividend per share
(**) as proposed by the Board of Directors to the Shareholders' Meeting

F/S COMPONENT PERCENTAGES – Example

SAFILO GROUP S.P.A. - Common-Size Statements

Balance sheet	2013	2013%	2014	2014%	2015	2015%	2016	2016%	2017	2017%
Current assets	594,181	41%	653,690	41%	640,388	40%	682,085	45%	604,614	52%
Plant, property, and equipment, net	791,386	54%	848,820	53%	853,653	54%	711,491	47%	474,547	41%
Other non current assets	80,070	5%	95,395	6%	96,764	6%	133,485	9%	81,326	7%
Total assets	**1,465,637**	100%	**1,597,905**	100%	**1,590,805**	100%	**1,527,061**	100%	**1,160,487**	100%
Current liabilities	345,534	24%	377,010	24%	361,943	23%	408,363	27%	420,488	36%
Total non current liabilities	274,041	19%	246,639	15%	230,258	14%	245,894	16%	206,794	18%
Shareholders' equity	846,062	58%	974,256	61%	998,604	63%	872,804	57%	533,205	46%
Total liabilities and shareholders' equity	**1,465,637**	100%	**1,597,905**	100%	**1,590,805**	100%	**1,527,061**	100%	**1,160,487**	100%

Statement of Income	2013	2013%	2014	2014%	2015	2015%	2016	2016%	2017	2017%
Revenues	1,121,531	100%	1,178,683	100%	1,278,960	100%	1,252,931	100%	1,046,955	100%
Cost of sales	437,841	39%	460,129	39%	522,004	41%	537,305	43%	527,406	50%
Gross margin	**683,690**	61%	**718,554**	61%	**756,956**	59%	**715,626**	57%	**519,549**	50%
Total selling and administrative expense and other operating revenue	608,966	54%	643,288	55%	755,114	59%	831,894	66%	727,724	70%
Operating income	**74,724**	7%	**75,266**	6%	**1,842**	0%	**-116,268**	-9%	**-208,175**	-20%
Interest and financial income	11,529	1%	32,850	3%	28,299	2%	42,394	3%	27,899	3%
Interest expenses and financial charges	36,191	3%	43,253	4%	55,700	4%	48,748	4%	41,895	4%
Income before income taxes	**50,062**	4%	**64,863**	6%	**-25,559**	-2%	**-122,622**	-10%	**-222,171**	-21%
Income taxes	34,089	3%	25,409	2%	26,854	2%	19,479	2%	29,396	3%
Net income	**15,973**	1%	**39,454**	3%	**-52,413**	-4%	**-142,101**	-11%	**-251,567**	-24%

I/S RECLASSIFICATION + COMPONENT PERCENTAGES – Example

Adopted from Textbook

Net sales will be set to 100 percent, and all other components are expressed as a percentage of net sales.

Item. 7 Management's Discussion and Analysis of Financial Condition and Results of Operations.

RESULTS OF OPERATIONS

The following table presents the percentage relationship between net sales and major categories in our consolidated statements of earnings:

dollars in millions	Fiscal 2023		Fiscal 2022		Fiscal 2021	
Net sales	$ 152,669	100.0%	$ 157,403	100.0%	$ 151,157	100.0%
Cost of sales	101,709	66.6	104,625	66.5	100,325	66.4
Gross profit	50,960	33.4	52,778	33.5	50,832	33.6
Operating expenses:						
Selling, general, and administrative	26,598	17.4	26,284	16.7	25,406	16.8
Depreciation and amortization	2,673	1.8	2,455	1.6	2,386	1.6
Total operating expenses	29,271	19.2	28,739	18.3	27,792	18.4
Operating income	21,689	14.2	24,039	15.3	23,040	15.2
Interest and other (income) expense:						
Interest income and other, net	(178)	(0.1)	(55)	–	(44)	–
Interest expense	1,943	1.3	1,617	1.0	1,347	0.9
Interest and other, net	1,765	1.2	1,562	1.0	1,303	0.9
Earnings before provision for income taxes	19,924	13.1	22,477	14.3	21,737	14.4
Provision for income taxes	4,781	3.1	5,372	3.4	5,304	3.5
Net earnings	$ 15,143	9.9%	$ 17,105	10.9%	$ 16,433	10.9%

Conclusive remarks of slide set 1

FINANCIAL STATEMENTS ANALYSIS WORKFLOW

AFTER having:

1. **Reclassified the Trial Balance**, for both the Income Statement (IS) and the Balance Sheet (BS), calculating the main key indicators;
2. Performed the same analysis over multiple years and in percentage terms (**Horizontal and Vertical analysis**);
3. Where necessary, performed the same analysis on **competitors** (Benchmarking);

THEN, it is possible to proceed to the following steps:

- The work involving **Ratio Analysis** (Set 2 of slides)
- If applicable, the **Valuation** (e.g., using Multiples) (Set 3 of slides).

Thank you!

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UNDERGRADUATE SCHOOL

See you next time: FSA Part 2